

If Termeer felt any sense of relief, it was short-lived. Unbidden by Icahn, but apparently sensing the opportunity that the two activist investors had created in Genzyme, pharmaceutical giant Sanofi-Aventis started circling. In August, it made an informal approach, offering \$69 per share, or \$18.5 billion for the company. Genzyme's share price vaulted to \$70, a 52-week high, on speculation in the press that an offer had been made. Genzyme rebuffed the offer. Sanofi-Aventis responded by unveiling a hostile bid for Genzyme at the same price, putting its offer directly to shareholders. In the October press release, the company explained that it had launched a hostile bid because its "attempts to [merge with Genzyme] have been blocked at every turn. Our recent meetings with Genzyme shareholders demonstrate that they support a transaction and are frustrated by Genzyme's unwillingness to engage in constructive discussions with us. This has left us with no choice but to present the offer directly to Genzyme's shareholders."⁵⁰

Sanofi-Aventis' chief executive Chris Viehbacher approached Icahn, who told him, "Listen, this is a great company, you aren't going to get me fighting to sell it for less than 80. As far as I'm concerned we should get 80 bucks for the company, and if we don't I'm not going to support anything—in fact I'll be [Termeer's] ally."⁵¹ Termeer was reluctant to sell, but met with Viehbacher in January 2011. There they agreed on the broad structure of a deal. Sanofi-Aventis would raise the price it would pay for Genzyme shares to \$74 a share, or a total of \$20.1 billion, plus a contingent value right. The contingent value right is a security that will trade through 2020, and which could be worth as much as an additional \$14 per share, or \$3.8 billion in total, if Genzyme can meet several ambitious sales targets.⁵² Even without the contingent value rights, the takeover was the second largest in the history of the biotechnology industry.

Genzyme was vintage Icahn. He and Whitworth may have hastened it, but a sale became "inevitable," as one article described it, once Genzyme stumbled at its Allston Landing plant.⁵³ In an overcapitalized industry with falling returns, the precipitous dip in Genzyme's share price made it a clear target for a larger pharmaceutical company:⁵⁴

That put them on the radar, and people started running the numbers. These deals are part of the ecology of this area. The big pharmaceutical companies are just dying for new sources of revenue, and biotechs are beautiful in that regard.

Icahn, along with Whitworth, had seen the possibility for a takeover, and moved to make the inevitable a reality. It was a successful campaign for Icahn, returning 40 percent on a \$600 million position in under 18 months.